Practice workbook · Business objectives: financial, non-financial and social

Financial, non-financial and social objectives a business sets, why a business sets them, why they change as it evolves, and the effect on a business of holding a social objective.

18 question parts: 1 worked-example retry and 17 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S1-01

1. Question 2 · part c · 3 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part c only.

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2 (a) State **one** reason why *Samsung* may need long-term finance.

(1)

(b) State **one** reason why quality control is a benefit to *Samsung*.

(1)

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(c) Explain **one** advantage to a business of having a social objective.

(3)

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1. Question 2 · part c · 3 marks

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Worked-example retry · Attempt part c only.

(d) Explain **one** limitation of a break-even chart.

(3)

(e) Explain **one** benefit to a business of being located within a trading bloc.

(3)

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1. Question 2 · part c · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a.ii · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a.ii only.

1 *Backyard Shoez* is a retail business located in Nairobi, Kenya. It sells a wide range of shoes, handbags and accessories for ladies only. *Backyard Shoez* has three shops in Nairobi. The shops are located in a busy shopping centre where there are other shoe shops.

(Source adapted from: https://backyardshoez.co.ke/)

(a) (i) Which **one** of the following is a method of secondary market research?

(1)

Select **one** answer.

- ☒ **A** Questionnaires
- ☒ **B** Government reports
- ☒ **C** Surveys
- ☒ **D** Focus groups

(ii) Which **one** of the following could be a financial objective for the owners of *Backyard Shoez*?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Increased production quality
- ☒ **C** Increased market share
- ☒ **D** Loyal employees

(iii) Which **one** of the following is an external source of finance for the owner of a business?

(1)

Select **one** answer.

- ☒ **A** Bank loan
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Selling assets

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2. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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3. Question 2 · part a · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a only.

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2 *Tata Motor Company* has employees across the world. It prides itself on looking after all its employees and ensuring that their needs are met.

(a) State **one** non-financial objective for *Tata Motor Company*.

(1)

(b) State **one** reason why *Tata Motor Company* would employ casual staff.

(1)

(c) Explain **one** reason why a business uses fringe benefits.

(3)

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(d) Explain **one** reason why a business would use job production.

(3)

3. Question 2 · part a · 1 mark · Working and answer

Working and answer

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4. Question 1 · part a.i · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.i only.

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1 *Loaf*, a bakery and cookery school, was set up by Tom Baker in Birmingham, UK. The aim is to promote real food and healthy living. It wants to use its skilled chefs to bring real food to the kitchens of the local community. It uses its cookery courses and bakery to help restore the local high street. *Loaf* also hosts pop-up events (one-off events) in different parts of the city where it shows off its products. Any profit made through these events is directed towards furthering *Loaf*'s charitable work.

Loaf operates a scheme called 'Waste Not'. At the end of the day *Loaf* donates any leftover food to charities who distribute it to local people. In addition, *Loaf* provides a recycling hub for the local community.

Loaf is a social enterprise with nine members of staff; six of whom are directors.

(a) (i) Which **one** of the following is a non-financial business objective?

(1)

Select **one** answer.

- ☒ **A** Profit
- ☒ **B** Sales
- ☒ **C** Market share
- ☒ **D** Personal satisfaction

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(ii) Which **one** of the following is a part of the Boston Matrix?

(1)

Select **one** answer.

- ☒ **A** Rising star
- ☒ **B** Risk assessment
- ☒ **C** Product packaging
- ☒ **D** Extension strategy

(iii) Which **one** of the following is an additional payment to a basic wage?

(1)

Select **one** answer.

- ☒ **A** Promotion
- ☒ **B** Bonus
- ☒ **C** Job enrichment
- ☒ **D** Piece rate

4. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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5. Question 3 · part b · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

3 One of *TADS'* objectives is to expand by giving lessons for different musical instruments. To do this it will need to analyse its financial position.

(a) Define the term **liquidity**.

(1)

(b) Outline **one** possible financial objective, other than revenue, that *TADS* might have.

(2)

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5. Question 3 · part b · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

Figure 1 shows an extract from the cash flow forecast for *TADS*.

	February (£)
Opening balance	4 000
Cash inflow	7 000
Cash outflow	3 000
Net cash flow	
Closing balance	

Figure 1

(c) Calculate the closing balance for February. You are advised to show your working.

(2)

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5. Question 3 · part b · 2 marks · Working and answer

Working and answer

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6. Question 1 · part a.ii · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a.ii only.

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1 (a) (i) Which **one** of the following is an advantage of primary market research?

(1)

Select **one** answer.

- ☒ **A** It is a more up to date method of research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is cheaper than other types of market research
- ☒ **D** It is only done by market-research agencies

(ii) Which **one** of the following is a financial objective?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Market share
- ☒ **C** Independence
- ☒ **D** Control

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6. Question 1 · part a.ii · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a.ii only.

Figure 1 shows selected financial information for a pottery business.

Number of ceramic bowls sold per day	200
Price per bowl	£12.00
Variable cost per bowl	£3.00
Fixed costs per day	£600

Figure 1

(iii) Which **one** of the following is the total revenue for a day?

(1)

Select **one** answer.

- ☒ **A** £600
- ☒ **B** £1 800
- ☒ **C** £2 400
- ☒ **D** £7 200

(iv) Which **one** of the following would be a disadvantage for a partner in a partnership?

(1)

Select **one** answer.

- ☒ **A** Sharing the workload
- ☒ **B** Liability for all debts
- ☒ **C** Access to more capital
- ☒ **D** Sharing skills

Huawei's brand value for 2018 was $7.6 billion. *Huawei* plans to increase its brand value by 14% in 2019.

(v) What would be the brand value in 2019?

(1)

Select **one** answer.

- ☒ **A** $6.20 billion
- ☒ **B** $7.74 billion
- ☒ **C** $8.66 billion
- ☒ **D** $10.64 billion

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6. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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7. Question 1 · part a.ii · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a.ii only.

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1 *The Better Toy Store (TBTS)* is a children's toy shop. *TBTS* has three shops in Singapore. Two of the shops are located in busy shopping malls and the third is located at the Jewel Changi Airport. *TBTS* has a website for customers looking to buy toys online.

TBTS selects toys to sell that are excellent for play, value, design and quality. All *TBTS* toys are environmentally friendly.

(a) (i) Which **one** of the following is a form of promotion that targets a specialised segment of the market?

Select **one** answer.

(1)

- ☒ **A** Mass marketing
- ☒ **B** Niche marketing
- ☒ **C** Market share
- ☒ **D** Market analysis

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(ii) Which **one** of the following is a financial aim for a business?

Select **one** answer.

(1)

- ☒ **A** Survival
- ☒ **B** Challenge
- ☒ **C** Social objectives
- ☒ **D** Personal satisfaction

(iii) Which **one** of the following is a variable cost?

Select **one** answer.

(1)

- ☒ **A** Rent paid
- ☒ **B** Management salaries
- ☒ **C** Insurance agreed
- ☒ **D** Raw materials

7. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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8. Question 2 · part a · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part a only.

2 All 18,000 *LEGO* employees are full-time.

(a) State **one** financial objective for *LEGO*.

(1)

(b) State **one** possible reason why *LEGO* does not recruit casual employees.

(1)

(c) Explain **one** reason why a business would pay its employees above the minimum wage.

(3)

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8. Question 2 · part a · 1 mark · Working and answer

Working and answer

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9. Question 2 · part a · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

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2 *M&M* is constantly working to maintain the standards and quality of its products.

(a) State **one** non-financial objective for *M&M*.

(1)

(b) State **one** reason why *M&M* could dismiss an employee.

(1)

(c) Explain **one** reason why branding is important to businesses.

(3)

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9. Question 2 · part a · 1 mark · Working and answer

Working and answer

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10. Question 1 · part a.i · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.i only.

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1 *IKEA* is a well-known home furniture retailer with stores throughout the world. It was started in 1943 by Ingvar Kamprad when he was given some money by his father for doing well at school. He wanted to produce furniture at a price that people could afford to buy.

He realised that transporting furniture to customers was difficult as goods were often damaged. He developed flat packs to avoid damage. A flat pack contained all the materials needed to self-assemble a table, a chair or a bed.

All *IKEA* stores are run as franchises.

(a) (i) Which **one** of the following is a financial business objective?

Select **one** answer.

(1)

- ☒ **A** Challenge
- ☒ **B** Social objectives
- ☒ **C** Survival
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is an advantage to a business of using venture capital?

Select **one** answer.

(1)

- ☒ **A** It decreases access to other sources of finance
- ☒ **B** It keeps ownership in the business
- ☒ **C** It improves public relations
- ☒ **D** It can receive expert advice

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10. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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11. Question 2 · part b · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part b only.

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2 One of *IKEA*'s aims is to keep up to date with the changes taking place in product design and meeting customers' needs. To do this it has to introduce new and different products on a regular basis.

(a) State **one** reason why *IKEA* would employ temporary staff.

(1)

(b) State **one** financial objective *IKEA* might have.

(1)

(c) Explain **one** reason why cash flow forecasting is important to a business.

(3)

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11. Question 2 · part b · 1 mark · Working and answer

Working and answer

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12. Question 2 · part b · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part b only.

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2 *Kraft Heinz* has different functional areas within the business. These functional areas work together to ensure that *Kraft Heinz* maintains high standards of production with limited waste material.

Kraft Heinz aims to be involved in the local area through various methods such as charity and sporting events.

(a) State **one** task that human resources would carry out at *Kraft Heinz* when recruiting an employee.

(1)

(b) State **one** financial objective *Kraft Heinz* might have.

(1)

(c) Explain **one** reason why some businesses use crowdfunding as a source of finance.

(3)

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12. Question 2 · part b · 1 mark · Working and answer

Working and answer

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13. Question 2 · part a · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

2 (a) State **one** reason why *Café Pinch* might set business objectives.

(1)

(b) State **one** way *Café Pinch* could use the Boston matrix to review its product portfolio.

(1)

(c) Explain **one** responsibility of the human resources function.

(3)

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13. Question 2 · part a · 1 mark · Working and answer

Working and answer

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14. Question 2 · part a · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

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2 *Jimmy Choo* ensures that it meets all legal requirements of each country where it has factories or shops.

(a) State **one** non-financial objective *Jimmy Choo* might have.

(1)

(b) State **one** reason why *Jimmy Choo* complies with health and safety laws.

(1)

(c) Explain **one** advantage to a country of being a member of a trading bloc.

(3)

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14. Question 2 · part a · 1 mark · Working and answer

Working and answer

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15. Question 1 · part a.i · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a.i only.

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1 *TUI* is a holiday business that has over 100 years of experience. It offers customers a variety of holidays including staying in hotels, and river and ocean-going cruises. There are many extras that it offers to holiday makers including: car hire, extensions to the holiday and arranging day trips at all its holiday destinations.

The business is well known and flies its customers to over 180 destinations around the world, including Greece, Turkey and Spain. It has 1,600 travel agencies and 27 million customers. Holidays can be booked by visiting a travel agency or online.

TUI has holidays to meet the needs of all its customers: families, children, couples and those with disabilities.

(a) (i) Which **one** of the following is a non-financial objective?

Select **one** answer.

(1)

- ☒ **A** Generating wealth
- ☒ **B** Personal satisfaction
- ☒ **C** Maximising profit
- ☒ **D** Regular income

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(ii) Which **one** of the following would be a benefit to a business delaying paying its suppliers?

Select **one** answer.

(1)

- ☒ **A** Improved cash flow
- ☒ **B** Increased profit
- ☒ **C** A reduction in the amount of interest paid
- ☒ **D** Improved relationship with suppliers

15. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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16. Question 1 · part a.iv · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iv only.

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1 *China Cycle Tours (CCT)* is a business that provides bicycle tours. It offers guided bicycle tours around the city and countryside of Shanghai, China. It was started in 2008 with the slogan, 'One world, Two wheels.'

CCT employs eight tour guides who are all bilingual, speaking Chinese and English. The guides help tourists in all aspects of their tour including bookings for accommodation, food, activities and visits to cultural sites. *CCT* delivers the bicycles directly to the hotels where the tourists are staying and provides free maps and locks for the bicycles.

CCT has received good reviews and ratings online. Customers have commented that the bicycle tours are extremely enjoyable and that the guides help them to experience the true culture of China.

(a) (i) Which **one** of the following is the production process that relies more on machinery than on labour?

(1)

Select **one** answer.

- ☒ **A** Kaizen
- ☒ **B** Job production
- ☒ **C** Just-in-time
- ☒ **D** Capital intensive

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(ii) Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share?

(1)

Select **one** answer.

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

16. Question 1 · part a.iv · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iv only.

(iii) Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure?

(1)

Select **one** answer.

- ☒ **A** Paying overhead costs sooner
- ☒ **B** Paying suppliers later
- ☒ **C** Increasing the rate of pay for its employees
- ☒ **D** Decreasing the net cash flow

(iv) Which **one** of the following is a financial business aim?

(1)

Select **one** answer.

- ☒ **A** Challenge
- ☒ **B** Independence
- ☒ **C** Survival
- ☒ **D** Control

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CCT is considering purchasing six electric bicycles from England to increase the variety of bicycles it offers to its customers.

Each bicycle costs £550.

The exchange rate is £1 = 9.35 Chinese yuan (CNY).

(v) Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles?

(1)

Select **one** answer.

- ☒ **A** 550.00 CNY
- ☒ **B** 3 300.00 CNY
- ☒ **C** 5 142.50 CNY
- ☒ **D** 30 855.00 CNY

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16. Question 1 · part a.iv · 1 mark · Working and answer

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17. Question 1 · part a.i · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a.i only.

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1 *Samsung* is a South Korean public limited company. It designs and produces electronic products including mobile phones, televisions and laptops. It has factories and offices in 74 countries and employs more than 270,000 people worldwide.

Samsung is the leading producer of televisions. It competes with businesses such as *Apple* and *Xiaomi* in the smartphone market.

The aim of *Samsung* is 'to create superior products and services that contribute to a better society'. To achieve this, *Samsung* invests heavily in new technology and employs skilled engineers to design innovative products.

(a) (i) Which **one** of the following is a financial aim of a business?

(1)

Select **one** answer.

- ☒ **A** Survival
- ☒ **B** Independence
- ☒ **C** Control
- ☒ **D** Challenge

(ii) Which **one** of the following is a job in the secondary sector?

(1)

Select **one** answer.

- ☒ **A** Farmer
- ☒ **B** Grocery store manager
- ☒ **C** Restaurant waiter
- ☒ **D** Ship builder

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17. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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18. Question 4 · part c · 12 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

4 *AWG* sells men's jumpers for 34 000 ISK. An employee who sells a jumper is rewarded with a commission payment. This is 2% of the price of the jumper.

(a) Calculate the commission payment paid to an employee selling 12 jumpers. You are advised to show your working.

(2)

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18. Question 4 · part c · 12 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

AWG is considering introducing Kaizen.

(b) Analyse how this could affect its business.

(6)

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18. Question 4 · part c · 12 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

AWG's social objectives include the use of natural materials, being environmentally friendly and reducing waste.

(c) Evaluate the impact on *AWG* of having these social objectives when planning to grow the business. You should use the information provided as well as your own knowledge of business.

(12)

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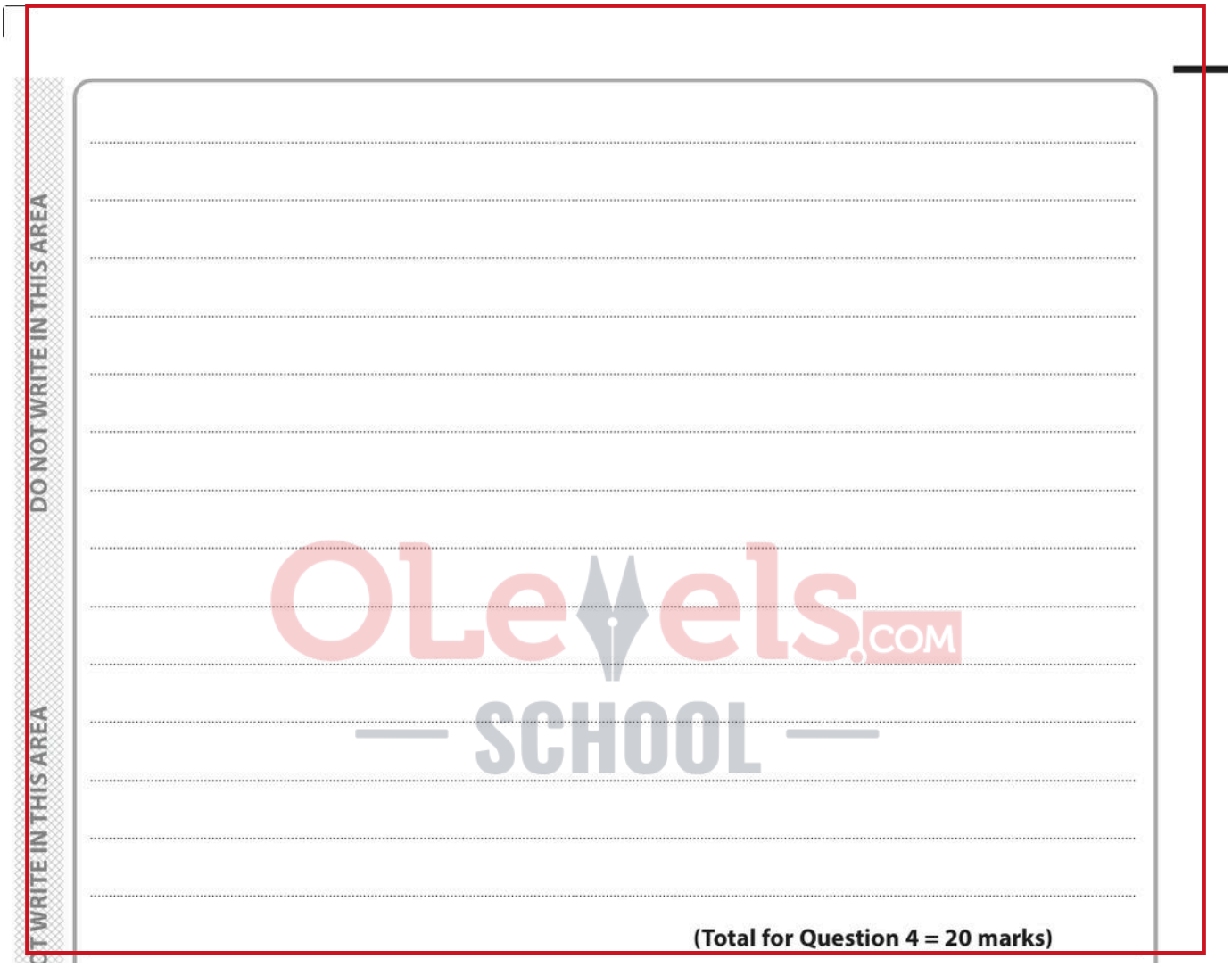
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18. Question 4 · part c · 12 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.



18. Question 4 · part c · 12 marks · Working and answer

Working and answer

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